How AI Helps Companies Change the Prices You Pay

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Imagine you and a friend buy the exact same groceries from the same store, but your bill comes out higher. That is the worry behind a new look at how companies use artificial intelligence to set prices.

In one test, 400 shoppers across the United States logged in to Instacart and bought the same 20 items from the same stores, then took screenshots of their carts. The prices were not the same. For some items, the difference was as much as 23 percent. Lindsay Owens, who leads a consumer **advocacy** group called Groundwork Collaborative, worked with researchers at Consumer Reports and More Perfect Union to study the test.

Soon after it became public, Instacart stopped the experiment. The company said the tests raised concerns and left some people questioning the prices they see on Instacart, adding, "That's not OK." Owens says many companies are comfortable with changing prices, not just for tests. Instead of one price for everyone, companies can now use computer programs called **algorithms** to shift prices based on personal data.

Owens and her colleague Elizabeth Pancotti also studied 315 **patents**, which are legal claims over new inventions. They found Walmart patent applications for technology that could connect to a smartwatch and track things like heart rate and blood sugar, and the filings talk about using that information in the ice cream aisle. Walmart plans to put digital price tags in all its U.S. stores by the end of the year, which could let it change prices quickly.

But Walmart executive Dan Bartlett said in an open letter that the company "does not and will not use an individual customer's personal information, income, shopping history, urgency, or willingness to pay to set an **individualized** price." So will stores charge each shopper a different price? Owens says the technology to do it is already everywhere, powered by data gathering, **cloud computing** and **machine learning**. The question now is how companies choose to use it.

Word Treasure

algorithms -- An algorithm is a set of steps a computer program follows to make a choice.

patents -- A patent is a legal claim that gives someone the rights to a new invention.

advocacy -- An advocacy group is a group that speaks up for what it thinks is right.

individualized -- Individualized means made for one single person, not for everyone.

machine learning -- Machine learning is a way for computers to learn from lots of data instead of following fixed rules.

cloud computing -- Cloud computing means using powerful computers on the internet instead of one computer at home.

Background you need

Stores have always changed prices, for example with sales, but computers now let them change prices for each shopper, using data about what a person buys and how they shop.

Artificial intelligence means computer programs that can spot patterns in huge amounts of data and make choices from them, and companies use it for everything from ads to prices.

A patent is a legal claim over a new invention, and companies file them to protect ideas they may use later, even if the idea never becomes a real product.

Consumer groups study how companies use data and speak up when they think shoppers are being treated unfairly.

Break it down

LEAD: Two shoppers can pay different prices for the same groceries, and AI may be the reason.

KEY EVENT: A test found different prices for the same items on Instacart.

+- WHO: 400 shoppers, Lindsay Owens and researchers, Instacart, Walmart

+- WHAT: The same 20 items from the same stores cost different amounts, by as much as 23 percent

+- WHEN: The test became public, and Instacart stopped the experiment soon after

EVIDENCE: Owens and Elizabeth Pancotti studied 315 patents, including Walmart filings about smartwatch data.

RESPONSE: Walmart executive Dan Bartlett said the company will not set prices from a customer's personal information.

OPEN QUESTION: Will stores charge each shopper a different price?

Why it matters

The price you pay for food and other basics could soon depend on data about you, not just the item on the shelf. Knowing how that works helps shoppers ask fair questions before the rules are set.

Test what you remember

1. In the Instacart test, how many shoppers bought the same 20 items?

(A) 100
(B) 20
(C) 400
(D) 315

2. For some items, how big was the price difference?

(A) There was no difference
(B) As much as 23 percent
(C) As much as 5 percent
(D) As much as 50 percent

3. What did Instacart do after the test became public?

(A) It sued the researchers
(B) It lowered all its prices
(C) It hid the results
(D) It stopped the experiment

4. What are algorithms, as the article explains them?

(A) Robots that deliver groceries
(B) Apps that compare store prices
(C) Computer programs that shift prices based on personal data
(D) Digital price tags in stores

5. What did researchers find in Walmart patent applications?

(A) A new kind of shopping cart
(B) A way to pay with a watch
(C) A plan to close all U.S. stores
(D) Technology that could connect to a smartwatch and track things like heart rate and blood sugar

6. What did Walmart executive Dan Bartlett say?

(A) Walmart will stop using digital price tags
(B) Walmart will share customer data with other stores
(C) Walmart does not and will not use a customer's personal information to set an individualized price
(D) Walmart will charge each shopper a different price

Answer key (try the quiz first!): 1: C 2: B 3: D 4: C 5: D 6: C

Questions to think about

1. Lindsay Owens: Owens says many companies are comfortable changing prices and that the technology to charge each shopper differently is already everywhere.

2. Instacart: Instacart stopped the experiment, saying the tests raised concerns and left people questioning the prices they see.

3. Walmart executive Dan Bartlett: Bartlett said Walmart does not and will not use a customer's personal information, income, shopping history, urgency, or willingness to pay to set an individualized price.

MY THOUGHTS (at least 20 words):